

Float

So this is a new term, you need to understand it carefully. Let us first discuss the characteristics of float:

With float, the company does not need to pay interest.

Even though the capital does not belong to the company. The company gets to use the capital.

The company can keep the interest earned from such capital.



Due to these huge benefits, the float is considered one of the most attractive sources of financing for a company. **However, not every business gets to generate float. The ones that do, enjoy significant advantages from the same.**

